

Study

## income statements

- revenues
- Cost of goods sold (COGS)
- gross profit
- operating expenses
- tax Expenses
- Net income

## Sub topics

- Beging inventory
- purchases +
- Ending inventory -
- Depreciating Expense
- SG & A
- Net profit before/After tax
- tax

## Statement of retained earnings

- Beginning retained earnings
- Net income
- dividends
- Ending retained earnings

## Balance Sheet

- Current Assets
- Fixed Assets
- current liabilities
- longterm liabilities
- Equity

## Sub topics

- Cash
- A/R
- inventory
- LT Assets
- Accumulated Depreciation
- intangibles

# income Statement \$(,000)

Revenue

Sales

\$ 4,870

Cost of goods sold

Beginning inventory

420

Purchases

3,300

Cost of Goods sold FS

4,120

Ending inventory

910

Cost of goods sold

3,210

gross profit

1,660

Operating expenses

General and Admin

1,300

Depreciation of expenses

50

Total operating Expenses

1,350

Net profit before tax

310

Tax

80

Net profit After tax

230

# Statement of retained earnings

retained earnings, Last year  
+ Net Profit After tax  
- Dividends  
retained earnings, this year

610

840

30

810

$$810 + 30 = 230 = 610$$

net income

$$610 + 230 = 840$$

# Balance Sheet

## Assets

|                              |              |
|------------------------------|--------------|
| Cash                         | \$ 20        |
| Marketable Securities        | 600          |
| Accounts receivable          | 1,030        |
| Inventory                    | 910          |
| Total current Assets         | <u>2,560</u> |
| Property, Plants & equipment |              |
| Land                         | 600          |
| Building and equipment       | 800          |
| Accumulated depreciation     | 150          |

## Liabilities

|                           |              |
|---------------------------|--------------|
| Accounts payable          | 680          |
| Notes payable             | 670          |
| Current Longterm debt     | 100          |
| Income taxes payable      | 30           |
| Total current liabilities | <u>1,480</u> |
| Longterm liabilities      |              |
| Mortgage loan             | 1,130        |
| Shareholder loan          | 340          |

|                                  |              |                            |       |
|----------------------------------|--------------|----------------------------|-------|
| net property, plants & equipment | <u>1,250</u> | Total longterm liabilities | 1,170 |
| intangible assets                | 250          | Total liabilities          | 2,950 |
| goodwill                         |              | Shareholders equity        | 1,110 |
| Total assets                     | 4,060        | Total liabilities + equity | 4,060 |

$$\text{Asset} = \text{liabilities} + \text{equity}$$